RETENTION PLAYBOOK

Decoding Customer Value: A SQL-Driven Retention Strategy

D2C Fashion Brand | 3,900 Customers |

Why this playbook exists:
42.7% of brand revenue is promo-driven. Only 16.1% of customers are genuinely loyal. 100% of loyal customers have zero promo dependency. The brand needs a structured plan to reduce discount reliance without losing revenue — this playbook provides that.

PART 1: Promotional Sunset Plan

The goal of this plan is not to eliminate discounts overnight — it is to gradually withdraw them from segments that do not need them to buy, while protecting revenue during the transition.

Step 1 — Identify Which Segments to Stop Discounting

Our SQL segmentation identified three distinct customer types based on promo dependency and loyalty:

Segment	Size	Promo Dependency	Action
Genuinely Loyal	627 (16.1%)	0.00 — Never	Stop discounts immediately
Neutral Buyers	1,596 (40.9%)	0.00 — Never	Reduce discounts gradually
Discount Hunters	1,677 (43.0%)	1.00 — Always	Maintain for now, monitor

The key insight: Genuinely Loyal and Neutral Buyers together represent 57% of the customer base and already buy without discounts. Continuing to offer them promos is pure margin erosion with zero loyalty benefit.

Step 2 — Start in the Right Season

Not all seasons are equal for discount removal. Our analysis shows:

- **Fall:** Highest revenue ($60,018) + lowest promo dependency (0.41) — safest season to pilot removal
- **Winter:** Second lowest promo dependency (0.43) — good for phase 2 rollout
- **Summer:** Highest promo dependency (0.44) + lowest revenue — do NOT remove discounts here

Recommendation:
Begin the promotional sunset in Fall (starting next Fall cycle). Test on Genuinely Loyal segment first. If revenue holds, expand to Neutral Buyers in Winter.

Step 3 — Start in the Right Geography

Some states already show strong organic buying behavior. These are the safest markets to remove discounts first:

State	Avg Spend	Promo Dependency	Loyalty Rate	Priority
Arizona	$66.55	0.34 (lowest)	20%	Phase 1
Tennessee	$61.97	0.36	26% (highest)	Phase 1

Texas	$61.19	0.36	13%	Phase 1
Virginia	$62.88	0.38	17%	Phase 2
Alaska	$67.60	0.40	24%	Phase 2

Step 4 — Rollout Timeline

Phase	Timeline	Action
Phase 1	Next Fall Season	Remove discounts for Genuinely Loyal segment in AZ, TN, TX
Phase 2	Following Winter	Extend to Neutral Buyers in AZ, TN, TX + add VA, AK
Phase 3	6 Months Later	Roll out nationally to Genuinely Loyal + Neutral Buyers
Phase 4	12 Months Later	Reassess Discount Hunters — convert or accept as promo-only

Step 5 — How We Know It's Working

- **Primary metric:** % of total revenue that comes without a promo code applied (target: reduce from 42.7% to below 30% in 12 months)
- **Secondary metric:** Loyalty rate in pilot states — should increase as habitual buying replaces discount-triggered buying
- **Risk metric:** Revenue per customer in pilot states — if it drops more than 10%, pause and investigate before expanding
- **Trade-off to watch:** Short-term revenue dip is expected in Phase 1 as some discount hunters churn. This is acceptable if loyalty rate rises.

> **The trade-off clearly stated:**
> Removing discounts from loyal and neutral buyers will likely cause a short-term revenue dip of 5-10% as some price-sensitive customers reduce purchase frequency. The long-term benefit is higher margin per transaction and a customer base that doesn't require continuous promotional spend to maintain volume.

PART 2: Ideal Customer Profile

The following profile is built entirely from data — not assumptions. Every attribute below is traceable to our Python feature engineering and SQL segmentation analysis.

Who They Are

Attribute	Value	Source	Why It Matters
Age Group	Boomer (55+)	Age_Group feature	Largest segment (1,178), highest spend
Gender	Male & Female equally	Gender column	No significant gender gap in loyalty
Top Category	Clothing	Category analysis	Dominant across all age groups
Best Season	Spring & Fall	Seasonal analysis	Highest revenue + lowest promo dependency
Payment Method	Cash / Credit Card	Payment analysis	Credit card users: 19% loyalty rate (highest)

Promo Dependency	0.00 — Never	Loyalty_Def1 filter	All 627 loyal customers have zero dependency
Avg Purchase History	37+ previous purchases	Previous_Purchases	3x more than non-loyal customers (23 avg)
Subscription Status	Not subscribed	Subscription_Status	0% subscription rate among loyal customers

What Makes Them Different

When we compare genuinely loyal customers against the rest of the base, three things stand out:

- **They don't need incentives.** Zero promo dependency means they buy out of habit and preference, not because of a deal. This is the single clearest signal of genuine loyalty in this dataset.
- **They have deep purchase history.** An average of 37 previous purchases vs 23 for non-loyal customers. Loyalty in this brand is built through repeated buying over time — not through subscriptions or satisfaction scores.
- **They are older.** Average age of 44.96 vs 43.90 for non-loyal. The brand's most valuable customers are Boomers — a segment the brand is likely not deliberately targeting in its marketing.

How a Marketing Team Should Use This Profile

1. **Acquisition targeting:** Run paid campaigns targeting 45-65 age group interested in fashion, prioritising Arizona, Tennessee, and Alaska where organic demand already exists
2. **Email/CRM strategy:** Identify customers with 20+ previous purchases and zero promo usage — these are near-loyal customers. Engage them with new arrivals and brand content, not discount codes
3. **Seasonal focus:** Invest marketing spend in Spring and Fall collections — this is when the ideal customer is most active and least dependent on promos
4. **Avoid:** Do not offer welcome discounts to new customers — this immediately trains them toward promo dependency before they have a chance to become habit buyers

BOTTOM LINE

The brand is not failing — it has a loyal base of 627 customers who buy without any incentive. The problem is it doesn't know who they are, isn't targeting more people like them, and is spending a discount budget on customers who don't need it. Both of those are fixable.